Australian Competition & Consumer Commission

Public Competition Assessment

13 March 2009

P & M Quality Smallgoods Pty Ltd - proposed acquisition of Hans Continental Smallgoods Pty Ltd

Introduction

1. On 18 February 2009, the Australian Competition and Consumer Commission (**ACCC**) announced its decision not to oppose the proposed acquisition of Hans Continental Smallgoods Pty Ltd (**Hans**) by P & M Quality Smallgoods Pty Ltd (**Primo**) (**proposed acquisition**). The ACCC was of the view that the proposed acquisition would be unlikely to have the effect of substantially lessening competition in any relevant market, in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**).

2. The ACCC formed its view on the basis of the information provided by the merger parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:

   - a merger is opposed;
   - a merger is subject to enforceable undertakings;
   - the merger parties seek such disclosure; or
   - a merger is not opposed but raises important issues that the ACCC considers should be made public.

4. This Public Competition Assessment has been issued because the proposed acquisition is considered to raise issues of interest to the public.

5. By issuing Public Competition Assessments, the ACCC aims to provide the public with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the public to the

circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

The acquirer: P & M Quality Smallgoods Pty Ltd (Primo)

8. Primo is a privately-owned company that manufactures a range of bacon, ham and other smallgoods products (including salami, sausages, strasburg, frankfurts, devon, cabanossi, kabana, saveloys, kransky, mortadella, presswurst, liverwurst and pates) which are supplied both in bulk and under the *Primo*, *Mayfair*, *Jacobs* and *Dandy* brands nationally.

9. Primo also supplies fresh pork and performs processing services from its abattoir facility in Port Wakefield, South Australia.

10. Primo currently manufactures its smallgoods products from sites at Chullora, NSW and Wacol, QLD.

11. Primo also operates 51 retail stores (butchers and delicatessens) in NSW.

The target: Hans Continental Smallgoods Pty Ltd (Hans)

12. Hans is a fully integrated ham, bacon and other smallgoods manufacturer, owned by Japan Tobacco.

13. Hans supplies smallgoods nationally in bulk and pre-packaged form under the *Hans*, *Hans Gourmet Meats*, *Hans Country Fresh*, and *Hans to Go* brands. It also supplies fresh pork under the *Hans Fresh*, *Barkers Creek*, and *Tender Pork* (export market) brands.

14. Hans operates two manufacturing plants in QLD (at Wacol and Colmslie) and one leased facility in Blacktown, NSW. However, the lease on this facility recently expired.

15. Hans also has a 65% interest in Swickers, which operates an abattoir in Kingaroy, QLD. However, Primo does not propose to acquire this interest. Swickers owns:

- 100% of Sun Pork Foods Pty Ltd (**SPF**) which sells offal,
- 41.67% of Burnet Pork Alliance (**BPA**), which breeds and grows pigs up to the age of three weeks, and
- 50% of Burnett Pork Alliance Marketing Pty Ltd (**BPAM**), which grows weaners from 3-21 weeks.

16. Hans was placed into voluntary administration by Japan Tobacco in late 2008.

Other industry participants

17. In addition to Primo and Hans, there is one other large manufacturer of smallgoods in Australia; George Weston Foods Limited (**GWF**). GWF supplies smallgoods nationally under a number of brands including Don, KR Castlemaine, Huttons, Watsonia, Chapmans, Melosi, Otto Worth, Virelli and Meapro.

18. There are a large number of manufacturers producing small volumes of smallgoods in Australia. Most of these small manufacturers supply their products regionally, although some supply small volumes on a national basis. These manufacturers supply significantly smaller volumes of smallgoods than Primo, Hans and GWF.

The proposed transaction

19. Primo proposed to acquire certain assets of Hans, including the inventory and equipment located at the Blacktown smallgoods manufacturing facility (**Hans business**). The following assets were excluded from the proposed acquisition:

- the Blacktown manufacturing facility itself,
- Hans Fresh Business (which supplies fresh pork), and
- Hans' interest in the Swickers (Qld) abattoir and associated pig growing operations.

20. The Hans Fresh Business and Hans' interest in the Swickers (Qld) abattoir and associated pig growing operations were proposed to be acquired by a third party, the Cameron Hall McLean Group. This transaction is not considered in this Public Competition Assessment.

Timing

21. The following table outlines the timeline of key events in this matter.

Date	Event
22-Dec-2008	ACCC commenced review under the Merger Review Process Guidelines.
16-Jan-2009	Primo advised the ACCC that in addition to its previous proposal it now proposes to acquire certain inventory and equipment located at the Blacktown manufacturing facility.
23-Jan-2009	Closing date for submissions from interested parties.
10-Feb-2009	ACCC timeline suspended to allow the merger parties to provide further information.
12-Feb-2009	Former proposed date for announcement of ACCC's findings, amended to allow for consideration of further information provided by the merger parties.
16-Feb-2009	ACCC timeline recommenced.
18-Feb-2009	ACCC announced it would not oppose the proposed acquisition.

Market inquiries

22. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, customers, input suppliers, industry bodies, and other interested parties. Submissions were sought in relation to the substantive competition issues.

With/without test

23. In assessing a merger pursuant to section 50 of the Act, the ACCC must consider the effects of the transaction by comparing the likely future state of competition if the transaction proceeds (the 'with' position) to the likely future state of competition if the transaction does not proceed (the 'without' position or counterfactual). The likely future state of competition without the merger (the relevant counterfactual) will often be similar to the state of competition prevailing at the time of the merger. However, taking the state of competition prevailing at the time of the merger as the benchmark for analysis would risk attributing a change in the level of competition to a merger, when the real cause is some other development that is unrelated to the merger and likely to occur regardless of the merger.

'With' position

24. The ACCC considered that the relevant 'with' position was that the Hans Fresh business, the Swickers (Qld) abattoir and the associated pig growing operations would be acquired by a third party. The Hans business would be acquired by Primo.

Counterfactual or 'without' position

25. The ACCC conducted extensive inquiries and carefully considered the information available to determine the likely outcome 'without' the proposed acquisition.

26. It was put to the ACCC that, in the absence of the proposed acquisition, the Hans business would be in danger of failure and would be unlikely to be successfully restructured or acquired by another party.

27. The ACCC conducted a rigorous analysis of the information provided by the administrator, KordaMentha, and other market participants in relation to these issues. To assess whether the relevant counterfactual should differ to the prevailing state of competition, the ACCC took into consideration whether;

    - the Hans business was in imminent danger of failure and the likelihood that the firm could be successfully restructured absent the proposed acquisition,

    - in the absence of the merger, the assets associated with Hans would be likely to leave the market and thus cease to represent an actual or potential source of supply (or other constraint) on the market. This included consideration of the likelihood that the assets would be purchased by another competitor or independent buyer either as a going concern or as separate assets.

<u>Imminent danger of failure</u>

28. On the basis of its inquiries, the ACCC was satisfied that absent the proposed acquisition or an alternative bidder acquiring the Hans business, the Hans business would be shut down immediately.

29. Prior to forming its view the ACCC sought detailed information from the administrator to support the claims that Hans would be shut down. This information was confirmed by other market participants with knowledge of the Hans business.

<u>Alternative purchasers of the Hans business as a going concern</u>

30. After a lengthy and unsuccessful sales process, which first began in 2007, Hans was placed into voluntary administration by its owner, Japan Tobacco, in late 2008. At this time the administrator, KordaMentha, commenced a further sales process.

31. During each sales process there were a number of parties that showed at least some degree of interest in acquiring part or all of the Hans business. However, almost all interested parties withdrew their interest for commercial reasons.

32. By the time of the ACCC's decision, a very small number of parties continued to express some interest in bidding for the Hans business, but following extensive inquiries with possible purchasers, the administrator and other market participants, the ACCC concluded that there were no alternative bids for the Hans business that would lead to a better outcome for competition than the Primo bid and that were capable of being finalised prior to the administrator being required to take steps to close the business.

33. Further, those parties that remained interested in acquiring the Hans business but were unable to finalise their bids in time advised the ACCC that they would not bid for part or all of the business unless it could be purchased as a going concern.

<u>Alternative purchasers of the separate assets of the Hans business</u>

34. Given that after numerous sales processes no parties remained that were willing and able to bid for the assets of Hans as a going concern the ACCC considered whether the assets that form the Hans business would leave the industry, or would be sold off separately.

35. The ACCC's market inquiries indicated that manufacturing facilities as a whole were more attractive to prospective purchasers if they could be sold as a going concern. If a facility were sold following the closure of the Hans business, the purchaser would need to seek new licences to produce smallgoods and import pork, attract and train staff to operate the facility, and would need to carry out a number of other processes before the facility could be brought back on-line. Given the difficulties associated with bringing a whole facility back online, the ACCC considered that it would be unlikely that the manufacturing facilities would be sold as operational units. This finding was consistent with the market inquiries conducted with other market participants with knowledge of the Hans business.

36. Consequently, the ACCC considered that without the proposed acquisition it would be likely that the Hans business would close and the assets broken up and sold at auction. The ACCC considered it was likely that the assets would be sold to a range of parties, but not all of them would necessarily leave the industry. Accordingly, the ACCC required the administrator to provide it with a full description of all the assets that would be available for sale in a shut down scenario for it to consider the likely impact on competition.

37. The ACCC concluded that, while some assets may remain in the industry, it was unlikely that this would provide an actual or potential competitive constraint. This is outlined in more detail in the Competition Analysis section below.

<u>Relevant counterfactual - conclusion</u>

38. The ACCC concluded that the relevant counterfactual in this review is that the Hans business would be likely to fail. It is on this basis that the merger has been assessed.

Market definition

39. The ACCC considered the effect of the proposed acquisition in the national market for the manufacture and wholesale supply of smallgoods.

Product dimension

40. Smallgoods include a wide variety of processed meat including ham, bacon, salami, sausages, strasburg, frankfurts, devon, cabanossi, kabana, kranskys, mortadella, presswurst, liverwurst and pates.

41. While the ACCC found that not all smallgoods are perfectly substitutable on the demand side, on the supply side different types of smallgoods are generally produced using the same or similar machinery. In addition, smallgoods manufacturers usually produce either a full range or wide range of smallgoods.

42. On this basis, the ACCC considered that the relevant product market includes a wide range of smallgoods produced by smallgoods manufacturers.

Geographic dimension

43. Although there are numerous regional suppliers and different brands with regional links, the ACCC found that a number of manufacturers distribute their products across Australia. Market inquiries indicated that there are no significant barriers to long distance transport of smallgoods and these products are usually supplied under national contracts to the large supermarkets and other large customers.

44. As such, the ACCC considered that the relevant geographic market is national.

Competition analysis

45. The ACCC's inquiries identified concerns that post acquisition, the remaining large suppliers (the merged entity and GWF) would be able to raise prices or lower the quality of smallgoods products supplied to a range of customers, particularly large national customers (both supermarkets and distributors).

46. The ACCC considered that any lessening of competition resulting from the proposed acquisition may occur through unilateral effects, coordinated effects, or both. However, it was not necessary for the ACCC to form a concluded view on this given the competition analysis outlined below.

47. The relevant test applied is whether the future state of competition with the merger would be substantially less than the future state of competition without the merger (that is, the Hans business fails).

Market structure

48. The market for the manufacture and wholesale supply of smallgoods is characterised by two tiers of suppliers. The first tier comprises three major manufacturers – GWF, Primo and Hans – which supply large volumes of product

to large customers nationally (for example, supermarket chains and large distributors) as well as some smaller customers (first tier suppliers). The second tier comprises a large number of small to medium size manufacturers (second tier suppliers).

49. The majority of second tier suppliers supply their products regionally through relatively small regional distributors who supply delis, other small retailers and small food service providers. The largest of these second tier suppliers supply some product nationally through supermarket chains and large distributors, although their strength remains in regional supply.

50. Second tier suppliers who supply nationally supply relatively low volumes and few lines. The ACCC’s inquiries suggested that the first tier suppliers are the only businesses capable of supplying the volumes required for specific high volume lines (typically bacon and hams) through the major supermarket chains and other large customers.

Availability of substitutes - competition for large customers

51. The ACCC’s inquiries indicated that being able to supply large national customers with a large proportion of their needs on a national basis creates efficiencies and minimises transaction costs in the supply chain for both suppliers and customers. In particular, first tier suppliers are able to take advantage of significant economies of scale and scope gained from their large operations, distribution networks and vertical integration, to supply large volumes and compete on price.

52. Second tier suppliers tend not to focus on price competition, but instead compete on quality, or by differentiating their product in some way, and/or supplying to smaller segments of the market (for example, through small distributors to delis and cafes, or through smaller supermarket operators) which are more difficult for the larger first tier suppliers to service.

53. Accordingly, the ACCC considered that while second tier suppliers provide some competitive constraint at the margins, they are unlikely to effectively constrain the merged entity or GWF post acquisition.

Countervailing power

54. The ACCC considered whether large customers (both supermarkets and distributors) possess a significant degree of countervailing power that would continue to provide an effective competitive constraint against the merged entity or GWF post acquisition. In theory, large customers could exercise countervailing power if they were able to credibly threaten to bypass the merged firm and GWF following the proposed acquisition.

55. Following market inquiries, the ACCC considered that while there is some scope for the major supermarket chains to support or sponsor the expansion of a smaller competitor gradually, such an expansion would be likely to take a number of years, and consequently would only provide a limited constraint to the merged entity or GWF, particularly in the short to medium term.

Barriers to entry and expansion

56. While barriers to entry on a small to medium scale appear relatively low, the ACCC considered that barriers to entry or expansion for a manufacturer seeking to effectively compete with the first tier suppliers appear high. Accordingly, the ACCC found that potential entry or expansion was not likely to be of a sufficient scale to provide an effective competitive constraint against the merged entity or GWF post acquisition. Barriers to entry and expansion were found to be high due to significant costs, possible difficulties gaining access to comparable prices for, and volumes of fresh Australian pork, and difficulties and delays for smaller manufacturers in attempting to achieve economies of scale and scope and establish vertically integrated supply chains similar to first tier suppliers.

Likely effect on competition given counterfactual that Hans would shut down absent the proposed acquisition

57. When compared to the situation if Hans had been able to continue to operate as an independent competitor, the proposed acquisition would reduce the number of first tier suppliers capable of competitively supplying large customers from three to two. While some competition between Primo and GWF would remain post acquisition, the ACCC considered that the removal of Hans as an independent competitor would be likely to result in a lessening of the competitive tension in the market and reduce the ability of customers to switch between suppliers in the event that they are dissatisfied with a supplier's price, quality, service or any other aspect of the supplier's offer.

58. Further, the ACCC found that post acquisition the merged entity and GWF were unlikely to be constrained by the threat of entry or expansion, countervailing power, imports, or any other relevant constraint.

59. However, as described at 23-38 above, for the purposes of section 50 of the Act, the ACCC must assess the likely competitive outcome 'with' the proposed acquisition to the likely competitive outcome 'without' the proposed acquisition. Therefore, the ACCC considered the likely effect on competition of the proposed acquisition compared to the situation if Hans had closed and its assets were broken up and sold via auction.

60. As described at 25-38 above, after extensive inquiries with the administrator and potential alternative acquirers, the ACCC concluded that without the proposed acquisition, the Hans business would have been shut down immediately and the assets would have subsequently been broken up to be sold to a range of parties. Some of the Hans business assets may have been sold to overseas purchasers or firms outside the smallgoods industry. Some may have been sold to second tier suppliers.

61. The ACCC conducted inquiries with a number of second tier suppliers to determine whether they were likely to seek to purchase Hans assets following a shut down, and if so, how this may impact on competition in the relevant market. In particular, if key assets were likely to be acquired by competitors who could readily use them to compete more strongly against Primo and other market participants, this would be an important consideration in the ACCC's analysis.

62. The ACCC's inquiries did not indicate strong interest in the Hans business assets. Some second tier suppliers indicated that they would be interested in purchasing some of the assets, particularly pieces of equipment. However, they did not show a strong interest in acquiring a large part of the assets, or an interest in using the assets to significantly expand their production. Therefore, the ACCC's inquiries suggested that second tier suppliers would be unlikely to quickly expand using the Hans assets to significantly increase the level of competitive constraint to Primo and GWF. This was supported by the fact that after numerous sales processes no parties remained that were willing and able to bid for the assets of Hans as a going concern (either as a whole or in part).

63. As such, the ACCC considered that the sale of assets following a shut down of the Hans business would be unlikely to significantly increase the production capacity of any of the second tier suppliers (or a new entrant). Further, the ACCC's inquiries indicated that any assets that were acquired by a second tier supplier looking to expand would be likely to remain offline for a considerable period of time before they could be redeployed to increase the capacity of the buyer.

64. The ACCC also considered whether a substantially less anticompetitive outcome would have been achieved if the Hans business shut down and remaining manufacturers were left to compete for the customers and volumes previously supplied by the Hans business. Given the barriers to expansion outlined previously, the ACCC considered that in order for the volumes and contracts previously supplied by Hans to be filled by second tier suppliers, those suppliers must have existing capacity which could be utilised by customers to shift purchases from the failed Hans business to the second tier suppliers.

65. Market inquiries indicated that even if second tier suppliers had sufficient additional capacity to supply the volumes previously supplied by Hans and that such a shift of custom from Hans to smaller suppliers would result in a less anticompetitive outcome, large customers would have this option regardless of whether the Primo acquisition proceeded or Hans is shut down and its assets sold.

66. Consequently, although the closure of Hans may have resulted in a small increase in the volumes supplied by second tier suppliers, the ACCC considered that if the Hans business were to close and its assets were broken up and sold, it was unlikely that it would result in a substantially less anticompetitive outcome compared to the Primo acquisition.

Conclusion

67. The ACCC concluded that the Hans business would be shut down immediately in the absence of the proposed acquisition.

68. After comparing the proposed acquisition with a shut down of the Hans business and subsequent sale of its assets, the ACCC formed the view that the proposed acquisition of Hans Continental Smallgoods Pty Ltd by P & M Quality Smallgoods Pty Ltd would not be likely to result in a substantial lessening of competition in any market in contravention of section 50 of the Act.